



Senthil T
Managing partner
www.shopsilkonline.com

We are primarily silk merchants. We do very little advertising, but still clock a few online sales every month. We decided to explore the online payment avenue with our Web site.

Installing the gateway cost us Rs 25,000, and we incur a commission on every sale. This is as an investment towards our customers' convenience. Until it becomes commercially viable, I guess we have to take solace in the brand value it adds to our site.

Also, we expect an increase in sales from abroad. The risk of loss due to charge-backs comes upon us, but thus far, no untoward incidents have taken place.

THE WAY TO GO?



Sunny Shah
Founder
www.variousdeals.com

The nature of our business involves monthly payments. Some among the 350-odd subscribers we have for our service, providing tips on the securities market, demanded the ease of card payments. Also, I was thinking of expanding my customer base beyond Vadodara to the rest of the country. A Web site was the obvious solution, and payment gateways seemed the most convenient mode of payment.

The initial charges came to Rs 8,000. Bank debit cards are charged a 7 per cent commission, while credit cards are charged at 4 per cent. We have not yet encountered fraud or negative experiences of any kind.



Kailash Katkar
CEO
Cat Computer Services

We set up a payment gateway seven years ago through a company called Digital River, primarily for the benefit of our customers abroad. Back then, costs were quite high—about 22 per cent of the transaction value. Later on, we moved to Element 5, a Germany-based secure server, and costs came down to less than 10 per cent.

Although 80 per cent of our anti-virus solutions business comes from India, we never considered the option of an online gateway for this market because our customers didn't really need it. But since we have now tied up with Microsoft, who require their associates to be payment gateway enabled, we've started an online payment option.

I had a tough time trying to install a gateway from one of the bigger players such as ICICI, HDFC and Citibank, so we had to go with CCAvenue. We are satisfied with their service.

I don't see much risk associated with this mode of payment—the entire process is transparent, and the statements provided are accurate.

As told to Philip